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📈Beyond the Ansoff Matrix:

Exploring Emergent Growth Strategies in Swedish Small and Medium-Sized Enterprises (SMEs)

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ABSTRACT

Authors: Joar Pousette (98/06/01) Emilia Shafipour (02/10/27)

Title: Beyond the Ansoff Matrix: Exploring Emergent Growth Strategies in Swedish Small and Medium-Sized Enterprises (SMEs)

Keywords: Growth Strategy, SME, Long-term growth, EU Commission, Mix Strategies

Purpose: The purpose of this study was to find what practical growth strategies were used by SME firms. We wanted to know how they prioritized and combined their strategies. Previous literature examined many theoretical and distinctive growth strategies used by SMEs; it did not examine how their strategy synthesis evolved in actuality.

Research question: How do Swedish SMEs prioritize and combine growth strategies for long-term growth?

Methodology: A qualitative semi-structured interview design, using voluntary sampling. The data were then coded using thematic analysis, according to the Gioa framework. Fourteen small Swedish enterprises were interviewed, spanning multiple industries.

Key findings: Firms' growth strategy prioritization includes the following: Strategic positioning & market approach, resource constraints & financial discipline, and lastly, the architecture of strategic communication.

Conclusion:
Our results showed a strong contrast to what was mentioned in previous theory and literature. SMEs incorporate some classic growth strategies into their mix. However, they combine non-sequential strategic positioning & market approach, resource constraints & financial discipline, and the architecture of strategic communication into their overall growth strategy.

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1. Introduction

1.1 Background

The journey from a business idea to a small or medium-sized enterprise is difficult. Many startups fail within five years of establishment (U.S bureau of Labour Statistics, 2018). The journey from small size enterprise and beyond is defined by strategic decisions along the way. These strategic decisions are taken by key managers in the firm and can ultimately decide their fate (European Commission, 2024). Looking more closely at the decisions made once the SME phase has occurred, we can understand what creates further growth in companies. Sweden has more than 669,000 registered SMEs, which equate to 99% of all businesses (European Investment Fund, 2020). Growth strategies are an extremely broad area to investigate, as the theory spans many subtopics. The core growth strategies for all businesses have been found to be *Market expansion strategies, Product and service growth, Revenue and pricing strategies, Customer-led growth, Marketing-led growth, Operational efficiency, and Strategic growth* (Ilhan & Durmaz, 2015)**.** Previous research has identified market expansion as including market development, market penetration, product development, and diversification (Ansoff, 1988). Market expansion is therefore one of the broader areas of growth strategies. Strategic decision making in firms varies depending on size, with regards to who implements the strategy (Hambrick & Mason, 1984). SME strategic decision making can be quite different from a large multinational firm. Another important aspect is long-term growth. It is considered to be 5-10 years in a business context, not less than growth over at least a five-year period (Benchmark International, 2023). Firm growth is often shaped by resource availability, meaning that organizations cannot pursue all strategic options simultaneously and must make strategic choices and trade-offs (Penrose, 1959; Barney, 1991). However, much of the existing literature tends to examine individual growth strategies in isolation, rather than exploring how decision-makers prioritize and combine multiple strategies in practice, particularly within SMEs operating under resource constraints.

1.2 Problem formulation

Previous literature has given emphasis to how specific strategies are used to induce SME growth. For instance, Rampaul (2025) discusses how the sole strategy of digitalisation is utilized by SMEs. The research however, does not specify the practical elements to strategy, and how strategies are combined in order to formulate long-term strategic planning. There is very little written about the combination of strategies used by SMEs. The most common

growth strategies are Market expansion strategies, Product and service growth, Revenue and pricing strategies, Customer-led growth, Marketing-led growth, Operational efficiency, Strategic growth. Studies such as Rampaul (2025) on digitalisation used as a specific strategy outline the general look of the literature surrounding the subject, as well as Banu et al. (2024). The literature is very focused on specific strategies used by SMEs. Other related research, such as Pasanen (2007), discusses whether SME growth strategies are organic or not, one of the closest topics to our research, but it still does not focus on the combination of growth strategies. Furthermore, the closest literature to our problem was Cacciolatti and Lee (2015), who outline various growth strategies within the SME context. However, instead of looking at specific strategies in detail or just growth strategies in the SME context, a more holistic investigative approach to strategy in practice can be useful for SMEs (Diop et al., 2025). The state of the art lacks investigation into the combined and prioritized growth strategies used in practice. Growth is indispensable for all businesses, as they stagnate without it. Value creation for business owners is one of the reasons behind their existence (De Silva, 2010).

Additionally, looking at a mix of strategies used currently for long-term strategic growth, rather than examining a particular strategy. We are therefore analysing strategy at the firm level, and not at the individual level. Another aspect, most of the literature surrounding growth strategies focuses heavily on multinational enterprises (MNEs) and not small medium sized enterprises (SMEs) (Dabic et al., 2014). According to the European Commission (2024), a small medium-size enterprise is defined using two factors: firstly, the staff headcount, and secondly, turnover and/or the balance sheet (European Commission, 2024). SMEs are unique due to the fact that they have moderate resources, they operate very differently to resource constrained startups and resource rich multinational enterprises (MNEs) (Sabel et al., 2026). Furthermore, we chose SMEs as the target interview candidates due to the ease of information access in relation to MNE firms, as the MNEs are harder to reach. We also decided to look at SMEs since most companies are past the startup phase, but are not yet so large that they are multinational enterprises. Therefore, our research likely can be more generalizable to all firms. Lastly, to put it plainly, there is not as much research on SMEs as there is for Multinational firms (Aranitou & Arachovas, 2024). These combined factors led us to decide on SMEs as our focus point. As mentioned before, previous literature is mostly single-strategy focused, which does not highlight how growth strategies come together or how to create long-term growth in an SME context. When discussing growth strategies, we will focus on Market expansion strategies, Product and service growth, Revenue and pricing strategies, Customer-led growth, Marketing-led growth, Operational efficiency, and Strategic growth as these are the main growth strategies used by firms worldwide (Ilhan & Durmaz, 2015). Strategic decision-making is done by individuals within small and medium-sized enterprises who hold primary responsibility for strategy related to long-term growth (Bhardwaj & Weirup, 2025). Typically, for SMEs, this includes founders, owners, chief executives, or senior managers who influence the firm's strategic

direction, prioritize growth initiatives, and allocate key organizational resources (Julien, 1993). As mentioned previously, we will assume long-term growth in the context of companies to be 5-10 years.

1.2.1 SME

SMEs cannot necessarily only be evaluated based only on economic factors. A more encompassing means to grasp the overall success of an SME needs to be established (Koutsopoulos, 2021). Three dimensions that have been established are SME advantages, enterprising environment challenges, and greening of SMEs (Koutsopoulos, 2021). Firstly, SME advantages discuss operational flexibility and capabilities. The enterprising environment and challenges talk about the constraints to which the SME operates in. Lastly, the third dimension in which SMEs can be considered is the greening of SMEs. This relates to how environmentally friendly and sustainably the SME can operate, providing their goods or services (Koutsopoulos, 2021). All three are ways in which to evaluate SMEs striving away from economics as the only main indicator.

Table 1. *Definition of SMEs and Micro according to the European Commission (2024).*

Enterprise category	Full time equivalence	Yearly turnover	Or	Balance sheet total
Micro	< 10 employees	≤ 2 million €	or	≤ 2 million €
Small	< 50 employees	≤ 10 million €	or	≤ 10 million €
Medium	< 250 employees	≤ 50 million €	or	≤ 43 million €

The table above shows how the European Commission (2024) classifies Micro, Small and Medium-sized companies. For a company to be classified as a Micro enterprise, the firm has to have fewer than 10 employees and a yearly turnover or balance sheet total below 2 million euros. For Small and Medium-sized enterprises (SMEs), there are three parameters used for classification: headcount, yearly turnover, and balance sheet total. The headcount for an SME must be between 10 and 250 employees. The second and third parameters are yearly turnover, which must not exceed 50 million euros, and balance sheet total, which must not exceed 43 million euros. Furthermore, if a company has more than 50 million euros in yearly turnover, more than 43 million euros in balance sheet total, or more than

250 employees, the company is classified as a large sized enterprise (European Commission, 2024). Hence, this will be used as our framework of an SME for the context of this paper.

1.3 Research question

How do Swedish SMEs prioritize and combine growth strategies for long-term growth?

1.4 Purpose

The aim of this study is to explore how Swedish small and medium-sized enterprises (SMEs) prioritize and combine growth strategies in practice when planning for long-term growth, and to examine how these practices compare with the growth strategies emphasized in the existing literature. Furthermore, to identify the underlying strategic logics that shape how firms approach growth. The purpose of this study was to find what practical growth strategies were used by SMEs. We wanted to know how they prioritized and combined their strategies. Previous literature examined many theoretical and distinctive growth strategies used by SMEs; it did not examine how their strategy synthesis evolved in actuality.

1.5 Research contribution

This study contributes to the literature by showing how Swedish SMEs actually work with growth strategies in practice. While much of the existing research focuses on individual strategies (Rampaul, 2025), this study takes a broader perspective by examining how different strategies are prioritized and combined when firms plan for long-term growth. In doing so, the study offers a clearer picture of how strategy unfolds in practice and helps bridge the gap between theory and the daily realities faced by SMEs.

1.6 Overview of methodology

Our study adopts a qualitative research approach and is based on semi-structured interviews with Swedish SMEs. This method allows for in-depth exploration of strategic reasoning, while also providing flexibility to follow up on topics that emerge during the interviews. We chose to use a qualitative method rather than a quantitative one, due to the lack of online information for each SME, regarding strategy and other vital information. Furthermore, we wanted to use interviews as we could dive deep in regards to questioning; a survey would not provide the ability to find the data that we were searching for, the core of this study. Due to our choice to explore growth strategies, it's not reasonable to make a generic survey. The questions in a survey would not provide enough information, and the responses would be too general. The inability to ask follow-up questions made it a deal breaker in the choice of method. Surveys would also be more difficult regarding targeting the intended participant, usually the CEOs of firms. We want to know why and how growth strategies are combined in SMEs, which makes interviews and the qualitative method appropriate. We do not only need to know what, how much, or how often (Saunders et al., 2019).

2. Literature review

2.1 Exploration and Exploitation, Resource-Based View, Long-term planning, and Strategic communication

A handful of theoretical frameworks can be seen to be vital when discussing long-term strategy in small and medium sized enterprises (SMEs). For the course of this study, the researchers found that exploration and exploitation, a resource-based view, long-term planning, and strategic communication were all essential topics to unravel to answer the research question at hand.

2.1.1 Exploration and exploitation

“A central concern of studies for adaptive processes is the relation between the exploration of new possibilities and the exploitation of old certainties” (March, 1991). Exploration is when firms create, play, discover, and innovate. Whereas exploitation encompasses efficiency, refinement, production, and execution. How firms use what they have, yet

optimize. There is an equilibrium in the equation, where too much of one side is seen to weigh the firm down. Firms need to find an adequate balance between the two in order to thrive and survive (March, 1991). While March (1991) emphasizes the importance of balancing exploration and exploitation, Luger et al. (2018) argue that the balance between these two should not be viewed as static. However, the balance between exploration and exploitation evolves over time and depends on the external environment in which firms operate. Additionally, Luger et al. (2018) suggest that organizations tend to develop self-reinforcing patterns in how they allocate resources between exploration and exploitation. This means that once a firm finds a certain balance, it tends to stick with it over time because of how the organization is built, how managers think, and because it has worked before. On the other hand, this stability can be both beneficial and problematic. In relatively stable environments, balancing exploration and exploitation helps firms learn and perform better over time. In contrast, in more turbulent environments marked by discontinuous change, this stability may lead to misalignment and weaker performance. In these contexts, firms may benefit more from focusing on either exploration or exploitation instead of maintaining a balance (Luger et al., 2018). For SMEs, this balance is especially important because growth decisions are often shaped by limited resources and internal capabilities. Berard and Fréchet (2020) mean that in SMEs, certain structural and resource attributes support both exploration and exploitation, which helps achieve ambidexterity, while others primarily affect one of the two. In particular, empowerment and financial slack are found to support both activities, whereas formalization mainly supports exploitation, and human resource lack mainly supports exploration. Berard and Fréchet (2020) also point out that ambidexterity represents a critical challenge for SMEs.

2.1.2 Resource-based view (RBV)

Barney (1991) discusses that firms achieve sustainable competitive advantage by acquiring and controlling valuable resources. Additionally, these resources can be broken down into valuable, rare, inimitable, and non-substitutable (VRIN), where resources are allocated into different categories based upon their level of importance and type (Barney, 1991). The resource based view looks more at what the firm is able to do with its own resources, rather than external factors. Hence, it is very internally focused (Barney, 1991). Darcy et al. (2014) apply the resource-based view in the SME context and link internal human resources and capabilities to competitive advantage and organisational sustainability. They also describe SMEs as characterised by limited resources, lack of specialist expertise, and more informal structures. According to Civelek et al. (2023), dynamic capabilities belong to the resource-based view and enable firms to use their resources in order to survive in changing

environments. Civelek et al. (2023) explain that SMEs face constraints in financial and human resources, which shape the role of these capabilities.

2.1.3 Long-term planning

Businesses ultimately focus on short-term gains, but the long-term needs to be intertwined into the strategist's mind (Souder et al., 2015). Most businesses today have a corporate mindset of short term thinking, along with society as a whole (Souder et al., 2015). However, "The key to long-term success — even survival — in business is what it has always been: to invest, to innovate, to lead, to create value where none existed before. Such determination, such striving to excel, requires leaders — not just controllers — market analysts, and portfolio managers. In our preoccupation with the braking systems and exterior trim, we may have neglected the drive trains of our corporations" (Hayes & Abernathy, 1980 pg 77). We can understand from this that long-term planning is also largely related to staying ahead and understanding how the future could look (Souder et al., 2015). If firms want to stay ahead, they need to think ahead. Long-term planning is seen as 5 years in the future (Benchmark International, 2023). If firms can plan, invest and innovate for the future, they will be able to stay in the lead (Souder et al., 2015).

2.1.4 Strategic communication

Communication in business is fundamental to performance. Firms may use communication, within their organization for a variety of tasks. Conflict management, external communication, strategy implementation, and managing customer relations are all part of a company's overall communication (Zulkeifli et al., 2023). Strategic Communication was seen to improve overall performance in firms. Firms that can communicate better both internally and externally have higher market shares (Zulkeifli et al., 2023). If managers have stronger interpersonal and communications skills, then their firm will perform better. Strategic communication was first coined to public relations, when strategy was attached to the term (Frandsen & Johansen, 2017). Nowadays, strategic communication focuses on interactionism, postmodernism, and a constitutive model of communication. Firms may use strategic communication to gain influence (Frandsen & Johansen, 2017). Hence, communication can be internal and external, as well as highly interactive.

2.2 Growth strategies

To understand the concept of growth strategies, this section digs deeper into aspects that define growth strategies, such as Market expansion strategies, product and service growth, revenue and pricing strategies, customer-led growth, marketing-led growth, operational efficiency, and strategic growth. These six are core growth strategies that firms globally use. Beyond these core six strategies, there is very little written on the types of strategies that companies use for growth. Igor Ansoff is seen as the father of strategic planning. The Ansoff matrix is a tool used by organizations for growth and potential growth identification. Built upon his work, Ilhan and Durmaz (2015) expanded upon potential growth strategies for firms in a more modern way. This literature therefore, encompasses growth strategy theory for firms. Furthermore, most literature focuses on individual growth strategies rather than how multiple growth strategies are combined and used by SMEs.

2.2.1 Market expansion strategies

Firms can pursue growth through a range of strategies today. The importance of strategy has changed over time, becoming a central focus for managers in the 1960s. Before that, companies mainly focused on annual budgets and financial planning as their primary planning tools. Since then, strategy has developed into a central part of management work and a major area within both consulting and business research (MacKay et al. 2020). Within this broader development of strategic management, market expansion has also been discussed as a strategy for firm growth. Bang and Joshi (2010) further describe market expansion as increasing primary demand by attracting new customers, as well as increasing usage among existing customers.

During the 1960s, Igor Ansoff helped move strategic thinking away from short-term budgeting toward more structured long-term planning. One of his most well known contributions is the Ansoff matrix, a tool which can help organizations to identify and plan growth strategies. The matrix considers two dimensions: the firm's products and its markets. Each of these can either be existing or new, and by combining these two dimensions the matrix shows four possible growth strategies. If a firm focuses on existing products in existing markets, then it is called market penetration (Ansoff, 1988). If it keeps the same products but enters new markets, it is market development. If it creates new products for its current market, it is product development. Finally, if the firm moves into new markets with new products, it is called diversification (MacKay et al. 2020).

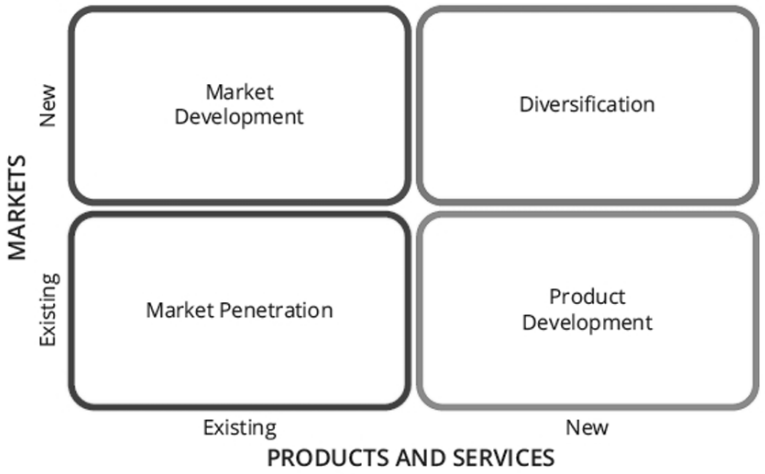


Figure 1: *Ansoff´s Matrix (Ansoff, 1988).*

2.2.1.1 Market penetration

A market penetration strategy focuses on achieving growth through existing products or services in existing markets (Ansoff, 1988). In this approach, the firm maintains its current product range and continues to operate within the same market but seeks to increase the amount or value of what it sells. Growth is therefore pursued by strengthening the firm's position among its existing customers and by attempting to increase its share of the current market. This may involve selling more to existing customers, encouraging more frequent use of the product or service, or attracting customers from competitors. Because the firm remains within familiar markets and continues to offer existing products, this strategy is often associated with lower levels of uncertainty compared to strategies that involve entering new markets or developing new products (Ansoff, 1988; MacKay et al., 2020).

Although the product and market remain the same, market penetration still requires active competition. Firms may adjust pricing, marketing efforts, service quality, or distribution in order to increase sales and maintain or improve their position in the market. In competitive environments, firms often attempt to increase market share by persuading customers to switch from competitors or by increasing usage among existing customers. Budi et al. (2025) explain that firms may also use different marketing channels and marketing strategies in order to strengthen market penetration and reach both existing and new customers. The potential success of this strategy depends on several factors, including the growth prospects of the market, the organization's capacity to produce and sell more, and the level of competition within the industry (MacKay et al., 2020). Market penetration is often associated with expanding markets where demand is increasing, but it can also be applied in

mature or stable markets where firms compete primarily for market share. In such cases, growth for one firm may occur at the expense of competitors, and the strategy may also be relevant in declining markets where firms attempt to maintain their position or capture remaining demand as other competitors exit (Ansoff, 1988).

This can be understood as growth but does not necessarily require entry into new markets or new product development but can also be achieved through stronger engagement within existing markets. Selling to existing customers is often less costly than attracting new customers, as firms already have established relationships and knowledge of their customer base (Kotler & Keller, 2016). For this reason, market penetration can be viewed as a way of achieving growth by relying on existing capabilities and market knowledge. Rather than changing the overall direction of the firm (MacKay et al., 2020). Market penetration can therefore be relevant for SMEs, as growth within existing markets does not require the same level of resource commitment as entering new markets or developing new products. Since smaller firms often operate with limited resources, strategies that build on existing products and customer relationships may represent a practical pathway to growth (MacKay et al., 2020). According to Suherna et al. (2021) SMEs can strengthen market penetration through customer relationships based on trust, information sharing, and emotional closeness. However, Bakashaba and Bindeeba (2025) argue that market penetration alone may not be enough for SMEs to create long-term competitive advantage, especially in digital markets where competitors can quickly reach similar customers through digital channels.

2.2.1.2 Market development

A market development strategy involves expanding into new markets with existing products or services. In this approach, firms seek growth by introducing their current offerings to new geographic areas or new customer segments, rather than developing new products (Ansoff, 1988). Firms may pursue market development to increase market share, reach new customers, or establish a presence in markets where demand is emerging or not yet fully developed (MacKay et al., 2020). This may include entering new geographic regions, targeting new customer segments, or expanding from local to regional or international markets. By doing so, organizations attempt to build on their existing product portfolio while identifying new sources of growth (Ansoff, 1988). According to Shaw (2012), companies entering new markets must develop an understanding of local customer needs, institutional conditions, and competitive environments in order to succeed.

While the core product may remain unchanged, firms often adapt elements such as distribution channels, positioning, or communication in order to reach new customer groups effectively. Market segmentation may therefore play an important role when organizations introduce existing products, due to customer needs and preferences that can vary depending on the market (Kotler & Keller, 2016). However, expanding into new markets can also involve uncertainty compared to growth within existing markets (Lechner & Gudmundsson, 2012). For SMEs, market development can be a potential pathway to growth once a stable position has been established in the home market. Expanding into new geographic areas or customer segments may allow smaller firms to grow without developing entirely new products. At the same time, entering new markets often requires additional market knowledge, networks, and resources, which can increase the level of uncertainty compared to strategies focused on existing markets. As such, market development represents a growth direction that builds on existing offerings while introducing new strategic challenges related to market entry and adaptation (MacKay et al., 2020).

2.2.1.3 Product development

While market development involves expanding into new markets with existing products, product development provides a strategic path to growth in situations where existing product ranges do not fully exploit available market opportunities (Ansoff, 1988). As well as in situations where expanding the product portfolio provides competitive advantages, or where customer demand is evolving (MacKay et al., 2020). When developing new products and innovations, firm size can influence the ability to develop and commercialize new products. Larger firms often have greater access to research and development (R&D) resources as well as complementary capabilities such as marketing, which may enable them to take larger risks and bring new products to market more effectively (Ansoff, 1988). On the other hand, developing new products frequently requires adjustments in processes, technologies, and organizational capabilities, and the success of such initiatives often depends on the firm's ability to build and apply relevant knowledge and capabilities (Cohen & Levinthal, 1990). Customer understanding is another aspect that affects successful product development. Firms may involve customers, lead users, or suppliers in the development process in order to improve product-market fit and reduce the risk of unsuccessful launches (Herstatt & von Hippel, 1992). For SMEs, product development and innovation can represent important opportunities for growth. However, the outcomes are not always guaranteed. Rosenbusch et al. (2011) explain that while innovation is generally associated with improved firm performance in SMEs, the strength of this relationship often depends on contextual factors such as firm characteristics and environmental conditions.

2.2.1.4 Diversification

Diversification refers to a situation where both products and markets are new to the firm, meaning that the organization enters business areas that differ from those in which it has previously operated in (Ansoff, 1988). In contrast to other growth strategies in the Ansoff matrix, diversification requires firms to develop new knowledge about both markets and products or services. As a result, diversification is often associated with higher levels of uncertainty and risk (Ansoff, 1988). Entering new markets while simultaneously developing new products may also require substantial financial investments and organizational resources (Loredana, 2017). When it comes to SMEs, such strategies may therefore be more difficult to pursue compared to growth strategies that build on existing markets or product capabilities.

2.2.2 Product and service growth

Service growth in product firms can be divided into three stages: past, present, and future (Kowalkowski et al., 2017). A key concept that appears is the servitization of businesses in all industries. Essentially, it means that businesses are blending services into their overall strategies in order to create value (Kowalkowski et al., 2017). This means that even companies that primarily sell products may incorporate services related to those products into their business. Ulaga and Reinartz (2011) describe these combinations as hybrid offerings, where products and services are integrated to strengthen customer relationships and create new sources of value and growth. This development is particularly relevant because services differ from physical products in several important ways, such as being intangible and more difficult to standardize, which often requires different strategic approaches (Zeithaml et al., 1985). For SMEs, integrating services into their offerings may improve firm performance despite resource constraints or low levels of service revenue. The study also suggests that even basic services can become important sources of revenue and profit (Queiroz et al., 2020). Furthermore, the reverse can be done as well. Service companies that are now offering products in their business model.

2.2.3 Revenue and pricing strategies

According to Dolgui and Proth (2010), price is directly correlated with revenue for most businesses. Various strategies come into play when discussing pricing, including market segmentation, discounts, revenue management, and price skimming (Dolgui & Proth, 2010).

Essentially, any way in which pricing can be used to induce growth. Pricing is not only an operational decision, but also a strategic tool that can influence both revenue and profitability. Small changes in price can have a significant impact on firm performance, often exceeding the effects of comparable changes in sales volume or costs (Baker et al., 2010). Pricing can also be used to position products and services, target different customer segments, and create competitive advantages (Simon & Bilstein, 2006).

2.2.4 Customer-led growth

Customer-led growth focuses on the customers' needs (Slater & Narver, 1998). This means that businesses follow the expressed desires of their customers. This can be in terms of products or services. Furthermore, expressed desire can usually come from focus groups or customer surveys, but other, less common ways can be used as well (Slater & Narver, 1998). Hence, customer satisfaction and customer input are vital for this strategy. A customer-led approach can help firms identify new opportunities, improve existing offerings, and strengthen customer relationships. By continuously adapting to customer needs, firms can increase customer satisfaction and loyalty, which may contribute to long-term growth (Day, 1994). This approach is closely related to market orientation, where firms generate and use customer and market information to create superior value for customers (Kohli & Jaworski, 1990).

2.2.5 Marketing-led growth

Businesses can focus on marketing in order to grow. They do this by using customer centricity, data-driven decision making, and marketing as a way to grow (Bader, 2024). Marketing-led growth is also a mindset, in the sense that all aspects of the company have the mindset of putting the customer first, from product development to operations (Bader, 2024). Marketing has long been used to create customer desire and maximize growth for companies. Marketing can also create demand for products and services that customers did not previously know they needed (Bertilsson & Egan-Wyer, 2025). An example could be search engine optimization, as companies leverage the means for bringing customers from the market into their business.

2.2.6 Operational efficiency

The efficiency in which firms operate throughout their organizational structure is a way in which companies use in order to achieve growth (Handoyo et al., 2023). Operations such as manufacturing can be fine-tuned in order to achieve competitive prices for customers. However, other aspects in the firm can also be changed in order to increase efficiency (Handoyo et al., 2023). All firms operate in a manner that can be more effective given the right circumstances, from bureaucracy to production. The study by Aldoghan et al. (2023) highlights how employee efficiency and greater operational efficiency can positively influence a firm's overall innovativeness. His study emphasizes tasks and how tasks can be more efficiently done.

2.2.7 Strategic growth

Managers in firms can take various strategic decisions in order to grow their firm. This can be done through mergers, acquisitions, or partnerships (Mom, 2019). Ambidextrous managers who can harness both exploring and exploiting can achieve this; likewise creating internal growth initiatives and implementation processes can foster this (Mom, 2019). Essentially, by harnessing various collaborative techniques, firms can create growth. Strategic growth is normally considered, as mentioned previously, to solely include mergers, acquisitions, and partnerships (Sherab Wangdi et al., 2024). However, these three can also be done on a smaller scale, for example, one company acquiring specific brands that another firm owns.

3. Methodology

3.1 Qualitative method

This study adopts a qualitative research approach in which empirical data has been collected through interviews in small and medium sized enterprises (SMEs). A qualitative method was chosen to understand how strategic priorities are formed and how different growth combinations are established when planning for long-term growth. The qualitative approach allows for an in-depth exploration of participants' perspectives, reasoning, and experiences (Saunders et al., 2019). Furthermore, the qualitative method focuses on understanding and interpreting meanings, patterns, and relationships within specific contexts and phenomena.

As well, qualitative research relies primarily on non numerical data such as spoken responses, narratives, and descriptions, in order to explore processes and contextual settings. This approach is particularly suitable when the research objective is to understand how and why certain decisions are made, rather than to measure statistical data. The purpose is to gain a deeper understanding of how strategy is prioritized and executed in the SME context. The use of interviews enabled the exploration of how decision-making within the SMEs perceive growth, strategy, and long-term planning, and how they prioritize between different strategic alternatives. In contrast, quantitative research methods typically focus on numerical data and statistical analysis, aiming to identify patterns that can be generalized across larger populations (Saunders et al., 2019). Hence, due to not having any numerical data the quantitative research method was not relevant to the study.

3.2 Data collection

The data used in this study consist of both primary and secondary sources, with the primary data forming the main empirical foundation. Primary data was collected through semi-structured interviews. According to Saunders et al. (2019), primary data can be collected through semi-structured interviews due to the interviewees being able to give their own honest opinion on the subject. These interviews were subsequently transcribed and analyzed using a thematic approach, allowing recurring patterns and key themes related to strategy, growth, and decision-making to be identified. The data was coded using a coding table in order to find these recurring themes. This was done to filter out the irrelevant data.

The semi-structured interview format was chosen in order to provide a balance between consistency and flexibility. An interview guide with predefined theory and questions was prepared in advance, while still allowing room for follow-up questions and the exploration of new topics that emerged during the conversations. This approach enabled the capture of more nuanced and detailed responses, as participants were given the opportunity to elaborate on their experiences and reasoning. According to Saunders et al. (2019), semi-structured interviews are suitable when the aim is to explore participants' perspectives and decision-making processes in depth, as they allow for adaptability depending on the direction of the discussion.

All interviews were conducted remotely via Teams in order to facilitate participation and ensure accessibility for respondents located in different regions. Conducting the interviews online also allowed for recording, which supported accurate transcriptions and analysis. All interviews were audio recorded and securely stored to ensure that the data was preserved and not lost, which is considered important in interview-based research (Saunders et al.,

2019). Each interview was individually transcribed to enable a more thorough analysis of the material. The AI platform Klang was used to assist in the transcription process. To ensure accuracy, all transcriptions were manually reviewed while listening to the recordings. As most interviews were conducted in Swedish, AI was also used to support the translation of the transcripts into English. The translated material was carefully checked to ensure that the meaning and context of the participants' responses were accurately preserved. AI tools were used solely as support. The use of primary data through interviews enabled the researchers to gain first-hand insights into how decision makers within SMEs approach strategy and long-term growth; moreover, how they prioritize between different strategic alternatives. Secondary data was collected through academic literature accessed via Linköping University's online library and affiliated research databases, as well as various accredited institutions. Furthermore, only English search words and literature were used. Searches were conducted using relevant keywords related to strategy, growth strategies, SME, decision-making, and more. Only peer-reviewed academic articles and books were included to ensure quality and reliability.

The literature was used to develop the theoretical framework of the study, support the design of the interview guide, and provide a basis for interpreting the empirical findings. According to Saunders et al. (2019), secondary data refers to existing data collected and published by other researchers, which are then analyzed in relation to a new research purpose. Each interview lasted approximately 30 to 45 minutes and followed a semi-structured format. This structure allowed for consistency across interviews while also providing flexibility. The interviewees represented a diverse range of perspectives within the SME context, including representatives from many industries, mainly CEOs dealing with strategy. All participants were based in Sweden.

The sample of interviewees was almost completely randomly selected. The only perimeter was that we wanted a variety of industries. The actual companies themselves were almost entirely random, within the context of small and medium enterprises (SMEs) and micro enterprises (MEs). We did this to decrease bias amongst data collected. Furthermore, we did not want to have any preconceptions of the companies beforehand.

Table 2: *Interview participants, background information MNE & ME*

Context:	Company:	Position:	Name:	Industry:
Micro Enterprise (ME) /Multinational Enterprise (MNE)	Insight vision/Boliden	CEO/ Business strategist	Andreas Åhrling	EDU/Steel
Micro Enterprise (ME)	MicroDri	CEO	Victor Borén	Lumber
Micro Enterprise (ME)	IMatrics	CEO	Mari Ahlquist	Media
Micro Enterprise (ME)	Market Art Fair	CEO	Sara Bengtsson	Art
Micro Enterprise (ME)	Eurosin Capital	CEO	Harry Li	Finance

The following table shows the interviewed micro-sized enterprises (ME). As well as one participant talking through the lens of his own ME and a multinational-sized enterprise (MNE) that he worked for.

Table 3: *Interview participants SME*

	Company:	Position:	Name:	Industry:
Interviewee 1	INSU	CEO	Jens Back	Education
Interviewee 2	Picky living	CEO	Henrik Haij	Kitchen Furniture
Interviewee 3	Nazar	CEO	Kemal Yamanlar	Travel
Interviewee 4	Exxentric	CEO	Fredrik Correa	Fitness
Interviewee 5	Viking Analytics	CEO	Leif Sundström	Technology & AI
Interviewee 6	QleanAir	CEO	Sebastian Lindström	Industrial Air filtration
Interviewee 7	Stureplans Affärsresebyrå	CEO	Ann Sofie Koch	Business Travel
Interviewee 8	Glimja	CEO	Moon Van Der Meide	Food (Health Supplements)
Interviewee 9	Myloc	CEO	Anders Eklund	Construction & Logistics
Interviewee 10	Omnitas	CEO	Thomas Karlsson	Consulting
Interviewee 11	Great Earth Scandinavia	CEO	Patrik Falk	Food (Health supplements)
Interviewee 12	Lumibird	CEO	Torbjörn Wolffram	Laser technologies
Interviewee 13	Balzar Beskow	CEO	Roger Olsson	Furniture
Interviewee 14	Optronic	CEO	Rikard Lundqvist	Industrial Measurements

The following table shows the data set focused on in the study. Fourteen small-sized enterprises (SMEs). The table depicts the interviewee's position, company, and the industry that the company is in.

Data collection was done using voluntary sampling. The data was obtained from respondents to an email, which was set based on the EU Commission's basis for SMEs. Those who responded to the email and were willing to have an interview became the final interviewees. Some respondents did not fit into the criteria for SMEs, for example, a too high turnover. Some participants wanted to initially have an interview, then declined. Around 400 SMEs were contacted to take part in the study. Four interviews with micro-sized enterprises and one multinational-size enterprise were also conducted to get a better perspective of the subject. According to Saunders et al. (2019), voluntary sampling means that only those who wanted to participate in the study did so. Hence, bias could occur because we could not control who responded back to partake in the study; we could only filter those who didn't fit the criteria. We sent our invitation to participate in the study to various industries, intentionally, in order to have results that span across most industries. According to Martin et al. (2016), the top fifteen industries in the world, amongst others, are money center banks, drug manufacturers, industrial metals and minerals, business equipment, personal products, and information technology services. These industries were some of the biggest in terms of market capitalization, and many of the firms that we interviewed fell into these market caps.

3.3 Data analysis

The data were analyzed using thematic analysis, following Braun and Clarke (2006), who describe the method as a systematic approach for identifying, analyzing, and interpreting patterns (themes) within qualitative data. Thematic analysis allows researchers to move beyond simple descriptions of the data by recognizing recurring patterns and meanings across interviews. This makes it particularly suitable for looking into how Swedish SMEs prioritize and combine growth strategies, as it enables the identification of both similarities and differences in how strategic decisions are approached. The analysis was further structured using the Gioia methodology (Gioia et al., 2013), which provides a systematic way of organizing qualitative data into different levels of abstraction. Specifically, the approach distinguishes between first-order concepts, second-order themes, and aggregate dimensions. This structure was used to organize the coding process and present the findings in a clear and transparent way, allowing the reader to follow how the analysis developed from raw interview data to overarching themes.

The analysis was mainly inductive, meaning that the themes were developed from the data rather than being decided in advance. An inductive approach involves developing insights from the data rather than testing predefined theories (Saunders et al., 2019). This approach was chosen to ensure that the findings were grounded in the participants' own experiences and perspectives, allowing patterns to emerge directly from the interview data. An alternative approach is deductive analysis, where themes are predefined based on existing theory (Saunders et al., 2019). This approach was not considered suitable for this study, as the aim was not to test specific theories, but rather to explore how Swedish SMEs prioritize and combine growth strategies in practice. As noted by Saunders et al. (2019), a deductive approach is typically used when the purpose is to test existing theories. Using a deductive approach could therefore have limited the analysis by forcing the data into predefined categories. Instead, by applying an inductive approach, the analysis remained open and flexible, allowing new insights to emerge from the data. However, existing theory was still used to support the interpretation of the findings, meaning that the analysis was mainly data-driven, but not completely independent of theory.

The analysis followed a structured process. First, all interview transcripts were carefully reviewed to gain an overall understanding of the data. During this stage, meaningful segments related to the research question were identified and highlighted. These segments were then labeled with initial codes, reflecting key ideas and patterns in the data. The codes were kept close to the participants' own words to ensure that the analysis remained grounded in the empirical material and accurately reflected their perspectives. Thematic analysis is a flexible method that can be applied across different research approaches, allowing the researcher to adapt the analysis to the specific context of the study (Saunders et al., 2019). To ensure a thorough understanding of the data, the interview transcripts were reviewed multiple times throughout the analysis. This repeated engagement with the data made it possible to identify patterns more accurately and to refine the coding process over time. The coding process was not fixed, meaning that codes were continuously adjusted or refined as new insights emerged from the data. This flexibility allowed the analysis to better reflect the empirical material and ensured that the final themes were relevant to the research question.

In the next step, the first-order concepts were compared and grouped based on similarities, allowing second-order themes to emerge. This process involved identifying connections between different first-order concepts and combining them into more abstract second-order themes. The themes were then further refined and organized into aggregate dimensions, capturing the most important patterns across the interviews. Throughout the analysis, the concepts and themes were continuously reviewed and refined to ensure consistency and alignment with the research question. This allowed for a more accurate and consistent interpretation of the data, while ensuring alignment with the research question.

The data were structured using the Gioia methodology (Gioia et al., 2013). According to Gioia et al. (2013), the analysis moves from concepts closely linked to participants' own words (first-order concepts), to more abstract themes (second-order themes), and finally to overarching categories (aggregate dimensions). In this study, this structure was applied throughout the coding process, where initial first-order concepts were derived directly from the interview data, then grouped into second-order themes, and finally developed into aggregate dimensions representing the main patterns in the data. The use of first-order concepts ensured that the analysis remained grounded in the participants' own perspectives, while the development of second-order themes allowed for a more interpretative and theoretical understanding of the data. The aggregate dimensions represent the highest level of abstraction, capturing the overarching structures emerging from the analysis. Throughout the process, the concepts, themes, and dimensions were continuously reviewed and refined to ensure consistency and alignment with the research question. Interview quotations were used in the findings section to illustrate key patterns and provide a better understanding of the results.

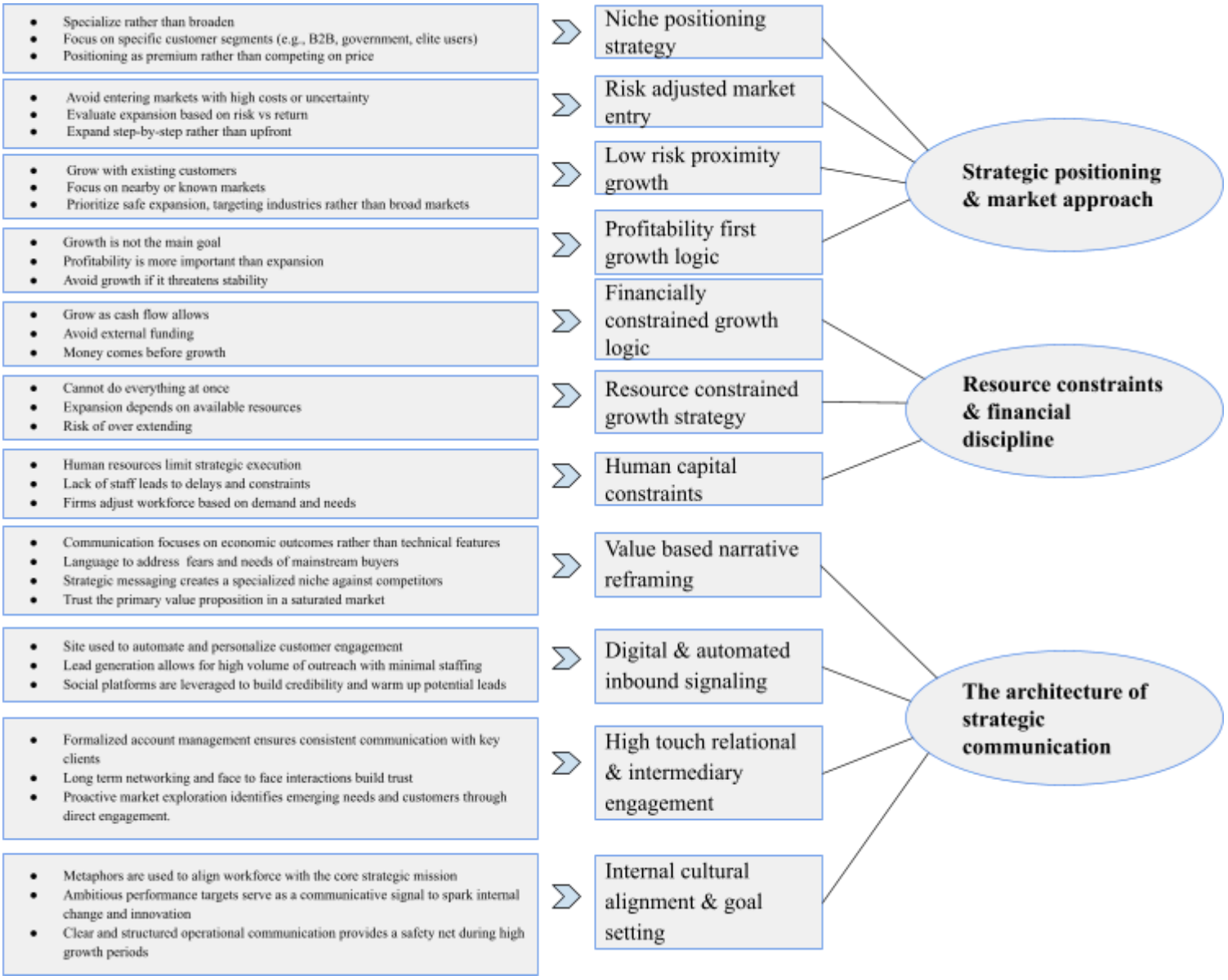


Figure 2: *Coding table*

The left side of the coding table shows how raw data has been processed into condensed units. The raw interview data that was used in this coding table can be found in the Appendix. The middle of the table shows the researcher interpreted concepts that have been established, and finally the aggregate dimensions on the right. (first-order concepts, second-order themes, aggregate dimensions). Theory was connected to the questions that were asked to participants. From the transcribed responses, researchers observed patterns that later developed the coding table. The coding table itself is based on patterns and not on theory.

3.4 Research ethics

To ensure that all participants are treated with respect and that their rights and integrity are protected, ethics must be considered throughout the research process. According to Saunders et al. (2019), researchers must follow established ethical principles throughout the research process. A key principle is respect for individuals, meaning that participants' rights are safeguarded and that researchers act with social responsibility. In this study, these principles were ensured through informed consent and careful handling of participant information. Prior to each interview, participants were informed about the purpose of the study and were asked whether they consented to having their name and company included in a descriptive table presenting the interview sample. All participants agreed to this. However, to protect individual integrity, all interview quotations used in the findings section were anonymized, ensuring that specific statements cannot be directly linked to any individual participant. Participation was entirely voluntary, and no participants were pressured into taking part. It is also essential that participants are not exposed to any form of harm. Harm may include both physical and psychological aspects, where psychological harm can involve stress, discomfort, or being placed in a sensitive or awkward situation. Particular attention was given to ensuring participants' comfort during the interviews, in line with ethical principles outlined by Saunders et al. (2019). This was addressed by carefully reviewing the interview questions to ensure that none could be perceived as uncomfortable. Ethical considerations were also maintained during the analysis phase. The data has been handled with care and objectivity, ensuring that no information has been altered, misrepresented, or taken out of context, in accordance with principles of research integrity (Saunders et al., 2019). The findings, therefore, reflect the participants' perspectives as accurately as possible.

3.4.1 Usage of AI and language models

AI tools were used to assist in the transcription of the interviews. The platform Klang.ai was used to transform audio sounds into transcriptions. To ensure accuracy, all transcriptions were manually reviewed by the researchers while listening to the recordings. As almost all interviews were conducted in Swedish, Gemini was also used to support the translation of the transcripts into English. The translated material was carefully checked to ensure that the meaning and context of the participants' responses were accurately preserved. AI tools were used solely as support, and all final interpretations were made by the researchers.

3.5 Limitations

A limitation of the data collection process was sampling, where participants were selected based on availability and willingness to participate. This approach may limit the generalizability of the findings, as the sample may not fully represent all Swedish SMEs. In addition, all participants in the study were CEOs. While this provided valuable strategic insights, it also made data collection more challenging, as access to participants was limited. This may have affected both the size of the sample and the diversity of perspectives included in the study, as other roles within the organizations could have contributed with different views.

4. Findings

4.1 Background: ME & MNE

Small and medium-sized enterprises are located between micro-sized enterprises and large and multinational enterprises. Based on their headcount and turnover. In order to give us, as the researchers, some background knowledge as well as the readers of our study, we firstly interviewed four micro-sized enterprises and one multinational enterprise. These interviews were not included in the formal thematic coding table presented in the findings. Instead, they are used to provide contextual background and to offer a broader introduction to how strategic growth is understood across smaller firm contexts.

> *"In my experience, if you, if you have ordered things or engaged with a company that is start out to be small, they tend to be very customer-oriented. But once they grow to such an extent that they are really big, the bureaucracy takes over and internal processes take over that contradicts what they once were.*"

MEs going to SMEs may lean towards a customer focused approach, when they go from medium to large, more internal systems may take place. MNEs have a very formal bureaucracy and are less customer-orientated.

> *"Then the thing is, as small a company as we are, if you were to actually try to document what our existing strategy is, I would probably say it changes on a quarterly basis."*

Interviews suggested that micro-firms may focus more on short-term or quarterly operations compared to SMEs. This shift toward immediate flexibility rather than long-term strategy often appears to be a practical response to having fewer available resources.

4.1.1 Thematic analysis

The data analysis follows the Gioia methodology, a systematic approach to inductive concept development that ensures qualitative rigor. The process was initiated by identifying open codes within the interview transcripts, from which representative quotes were purposively selected. These quotes underwent a detailed thematic analysis to come up with first-order concepts, which adhere closely to the interviewee's specific terminology. Following the establishment of the first-order concepts, the analysis transitioned to a more abstract level, where these concepts were grouped into second-order themes (Gioia et al., 2013). These themes represent the researcher-driven theoretical interpretations of the phenomena, which eventually create the aggregate dimensions that form the basis of the final study. While the data is derived from individual decision-makers, the analysis is conducted at the firm level, focusing on how strategic logics, resource allocations, and growth strategies are manifested within the organization. The Gioia methodology includes the fourteen SME interviews and not the five conducted on MEs and MNEs.

Table 5: *Gioia et al. (2013)*

1st order concepts (informantcentric)
2nd order themes (researcher interpretation)
Aggregate dimensions (recurring main themes)

4.2 Strategic positioning & market approach

This section looks at how SMEs position themselves in the market and how this relates to their approach to growth. It focuses on how firms make choices about where to compete, how to expand, and what to prioritize over time. Rather than following predefined strategies, these choices appear to develop through ongoing decisions shaped by market conditions, internal capabilities, and available resources. Across the cases, firms approach

growth and positioning in different ways. Some emphasize specialization and operate within clearly defined customer segments, while others place more weight on managing risk, staying close to existing markets, or maintaining stable financial performance. These differences suggest that growth is not treated as a single objective, but rather as something that is approached from multiple angles depending on the situation of the company. To reflect this, the following sections are structured around four themes. These capture how firms define their market position, how they approach new market entry, how they grow within familiar contexts, and how profitability influences their growth decisions.

4.2.1 Niche positioning strategy

Niche positioning can be seen in how firms choose to focus on a more specific part of the market instead of trying to target everyone. Several interviewees describe how the firm works with clearly defined customer groups, areas of expertise, or types of offerings. Rather than expanding broadly, firms concentrate on where they believe they have the strongest fit. This way of positioning is also linked to how firms approach growth. By focusing on a narrower segment, firms can direct their resources more effectively and build deeper knowledge within a specific area. The following examples show how firms describe their positioning in terms of specialization, knowledge, and target customers:

> *"We have our own engineers… research expertise… we maintain close contact with researchers… So, we are a 'knowledge company,' and we've decided that our product should be a premium product. We work closely with science, we don't push anything that isn't proven to be effective… our goal isn't to be the cheapest."*

This reflects how the firm positions itself based on knowledge and scientific credibility rather than price. By emphasizing internal expertise and close connections to research, the company builds a premium offering focused on performance and quality, allowing it to operate within a more defined market segment. Similar patterns can be observed in other organizations, where positioning is built around specific offerings and targeted segments.

> *"Our main strategy is to offer the mandatory courses that our customers need in order to stay compliant… In addition, we develop courses together with our customers based on where they want to take their business."*

This shows how the firm positions itself within a specific regulatory niche, where demand is driven by compliance requirements. By focusing on mandatory training, the firm operates in a clearly defined market segment with stable and predictable needs. At the same time, the

firm adapts its offering based on customer development, which strengthens its position within that niche rather than expanding into unrelated areas. In some firms, this focus becomes even more specific, with positioning built around a clearly defined target group. In another interview, the interviewee explained that the firm positions itself exclusively toward a single customer segment and deliberately avoids targeting other groups, reinforcing a highly specialized market focus. This type of positioning can also be seen in firms that define their market through specific customer segments rather than broad audiences.

"We are strictly B2B. Once a company has signed an agreement with us, they get access to our platform where they manage policies and requirements."

This illustrates how the firm positions itself by focusing on a clearly defined customer segment. By operating strictly within a B2B context, the firm limits its market to organizational clients with specific needs and requirements. This suggests a deliberate choice to specialize within a particular segment, rather than targeting a broader audience. In some firms, positioning is not only about who to target, but also how to communicate value to different types of customers.

"A technical buyer wants to hear about features and 'cool new things,' while a more mature buyer wants to understand KPIs, risk, and ROI… they want to know if you have other customers so they don't have to be nervous."

This shows how the firm adapts its positioning depending on the type of customer it targets. Rather than presenting a uniform value proposition, the firm adjusts how value is communicated based on what different buyers prioritize. This suggests that niche positioning is not only about selecting a specific segment, but also about aligning the offering with how that segment evaluates value, such as performance, risk, and expected returns. Taken together, these findings show how firms position themselves by narrowing their market focus, either through specialization, customer segmentation, or by adapting how value is communicated within a defined segment.

4.2.2 Risk-adjusted market entry

Firms do not approach entry into new markets as a straightforward growth decision. Instead, expansion is often considered in relation to the level of risk involved, including financial commitments, market uncertainty, and operational complexity. Across the interviews, several firms describe how entering a new market requires careful consideration of whether the investment can be justified. Rather than pursuing all available opportunities,

firms tend to be selective and, in some cases, choose not to expand at all if the risks are perceived as too high. This indicates that market entry decisions are shaped by a balance between potential opportunities and the firm's willingness to take on risk. This becomes especially clear in how firms approach decisions about entering new markets.

"We could have entered the US market and done quite well, but it would have cost around ten million to start up… and taken two to three years to recover that investment."

Despite the market being attractive, the firm chooses not to enter due to the high investment and long payback time. This suggests that expansion decisions are based on financial risk and expected return, and only pursued when conditions are favorable. A similar logic can be observed in other firms, where expansion decisions are shaped by perceived barriers and the resources required to enter.

"We analyze barriers such as competition, regional differences, and local conditions… We won't enter a market just because it's lucrative if the barriers are too high, the costs are prohibitive, or if we lack a viable partner."

In this case, market entry is considered through a broader set of considerations, including barriers, costs, and the firm's ability to operate effectively in the new context. Even when a market appears attractive, the firm refrains from expanding if key conditions are not met. This suggests that entry decisions are not based on opportunity alone, but on whether the firm has the necessary capabilities and external conditions in place to support a successful expansion. In some companies, expansion is further limited by their internal capacity to manage multiple markets.

"If we tried to go after ten new markets now, we would clog up… every new market requires product support and service… so we aim narrow and move forward to gain traction."

In this situation, expansion is limited by the organization's ability to support multiple markets at the same time. Each new market requires additional operational resources, which restricts how widely the company can expand at a given point. As a result, the company deliberately chooses to focus on fewer markets in order to build traction and maintain control. This suggests that market entry decisions are not only influenced by external opportunities but also by internal capacity and the need to sustain effective execution. This also means that expansion is closely tied to how much financial and operational flexibility the company has at a given time. In other cases, this is expressed more explicitly in how firms balance available financial resources against growth ambitions.

“We are only 15 people. We have to balance our ‘runway’ how long the cash lasts against our ambitious goals. We have to be efficient and very clear about our priorities. We need enough runway to hit our goals before we need to raise more money.”

This reflects how expansion decisions are constrained by both financial and organizational limitations. With limited personnel and financial runway, the company must prioritize carefully and cannot pursue all growth opportunities simultaneously. This suggests that growth ambitions are adjusted based on available resources and the firm’s ability to sustain its operations over time. A similar pattern can be observed in firms that delay investments until growth becomes more certain.

“It’s a balancing act. We have to consider whether to recruit before or after bidding on contracts… We are generally quite cautious. We see the growth coming, then we make the investments.”

This shows how expansion is approached as a stepwise process, where investments are timed based on visible demand and resource readiness. Rather than committing resources upfront, the company reduces risk by waiting for clearer signals before scaling. Taken together, these examples show how firms approach market entry in a cautious and selective way. Across the cases, expansion decisions are influenced by factors such as costs, barriers, internal capacity, and the timing of investments, rather than being driven by opportunity alone.

4.2.3 Low-risk proximity growth

Low-risk proximity growth refers to how firms expand by building on existing relationships, markets, and structures rather than pursuing more distant or uncertain opportunities. Across the cases, firms describe how growth is often achieved by working with current customers, operating within familiar geographical areas, or relying on established channels and organizational setups. Rather than expanding broadly into new and unfamiliar contexts, firms tend to prioritize growth opportunities that are perceived as more manageable and less risky. This includes deepening existing customer relationships, focusing on nearby markets, and leveraging internal capabilities and structures already in place. The following examples show how this approach to growth is reflected in organizations' day-to-day practices and decisions.

"Selling something more to an existing customer that is the low-hanging fruit… we already have a relationship. Our main priority is to do more with existing customers."

This shows how growth is achieved by building on existing customer relationships rather than expanding into new ones. By focusing on customers they already know, the company reduces uncertainty and leverages established trust. This suggests that growth is approached through familiar and lower-risk opportunities, where the firm can expand within an already known context. A similar pattern can also be seen in how firms prioritize growth within geographically closer and more familiar markets, rather than expanding into distant and more complex environments. A similar approach can also be seen in how firms rely on established structures and channels to support growth.

"We aren't directly facing the end customer… our sales strategy is partly old-fashioned, we rely on dealers who handle the end customer."

Instead of building direct relationships with end customers, the company operates through established intermediaries. This allows it to access new projects without developing its own sales presence in each market. By relying on existing dealer networks, growth is achieved through already functioning channels, which reduces both complexity and risk. A similar pattern can be observed in how firms organize their operations to support growth from a central base.

"We have defined a 'center of excellence' where all deliveries take place… rather than replicating the organization in different regions, we feed assignments into a central, established structure."

Growth is organized around a central structure rather than being replicated across multiple locations. By directing activities to an established core, the company avoids the need to build new operational setups in each market. This enables growth without increasing organizational complexity, allowing the firm to maintain control while expanding. As a result, expansion is handled within an existing structure, reducing both risk and the need for additional resources. This controlled and structured approach to growth is also reflected in how firms expand within existing customer segments rather than across new markets.

"When we plan our growth, we look at different types of customers. We set goals for, say, moving toward media, or industry, or the financial market. We analyze where we can find growth within different customer groups. We don't do mass mailings or call everyone; we work structurally and industry-oriented."

Rather than pursuing broad outreach, growth is approached in a structured and targeted way. By analyzing different customer groups and setting goals within specific industries, the

company directs its efforts toward areas where it can build on existing knowledge and capabilities. This allows expansion to take place within more familiar contexts, reducing uncertainty and enabling a more controlled approach to growth. These examples show how growth is often built on existing customers, structures, and familiar contexts. Rather than expanding broadly, firms tend to focus on opportunities that can be managed within their current setup.

4.2.4 Profitability-first growth logic

Profitability-first growth refers to how firms prioritize financial stability and sustainable performance over rapid expansion. Across the cases, several firms describe how growth is not treated as an objective in itself, but rather as something that must be balanced with profitability and long-term viability. Instead of pursuing expansion for its own sake, firms emphasize maintaining stable operations, ensuring sufficient margins, and avoiding growth that could compromise financial performance. This means that growth decisions can be shaped by considerations related to profitability, rather than by market opportunities alone. This perspective is reflected in how firms frame and evaluate growth decisions in practice.

"Growth is not a goal in itself. If it happens, that's fine, but we mainly focus on revenue rather than growth."

Growth is not treated as a primary objective, but rather as a potential outcome of the firm's activities. By focusing on revenue instead of expansion, the company places greater emphasis on financial performance than on increasing scale. This suggests that growth is approached selectively, where it is accepted when it occurs, but not actively pursued at the expense of profitability. A similar perspective can be seen in firms that place greater emphasis on profitability than on increasing sales volume.

"We've gone the other way, sell less, earn more… I'm not driven by turnover. If we don't have good profitability, I'm not interested in selling as much as possible. Profitability is the main goal."

In this case, rather than pursuing higher sales volumes, the company deliberately prioritizes profitability as its main objective. Growth is therefore constrained by the requirement to maintain strong financial performance, meaning that expansion is only pursued when it supports margins rather than undermines them. This suggests a disciplined approach to growth, where financial sustainability takes precedence over increasing scale. This can also

be seen in firms that position themselves around higher value offerings rather than competing on price.

"As long as the business is profitable, then it's okay… we don't need to push for growth. We sit here with good customers and acceptable profitability."

In this company, growth is not actively pursued as long as the firm maintains profitability and a stable customer base. The emphasis is placed on sustaining existing operations rather than expanding further. This suggests that growth can be deprioritized when financial performance is considered sufficient, reflecting a more conservative approach where stability is valued over expansion. This can also be seen in firms where profitability is treated as essential for the business to continue.

"Today, the focus is profitability, because without it, there is no company."

For this firm, profitability is framed as a necessary condition for the firm's existence rather than as one objective among others. This indicates that financial sustainability takes precedence over expansion, where growth is only considered once profitability is secured. As a result, the company prioritizes maintaining a stable financial foundation before pursuing more aggressive growth strategies. This emphasis on financial stability is also reflected in firms that are satisfied with maintaining their current level of operations.

"We have been happy just to maintain roughly where we are."

A similar view is expressed in another firm, where the company prefers to stay at its current level rather than expand further. This shows that stability can be a goal in itself, especially in uncertain environments. Growth is therefore not always necessary, but it depends on the firm's priorities and external conditions. These cases show that growth is not always a goal in itself. Instead, companies can focus on profitability and financial stability. Expansion is often limited by the need to avoid risk, and for some companies staying at the current level is seen as enough.

4.3 Resource constraints & financial discipline

Small and medium sized enterprises share a fundamental condition in that they operate with more limited resources compared to larger or multinational firms. This limitation becomes central in how strategic decisions are made and how growth is approached. Across the cases, firms describe how financial constraints shape not only what they are able to do,

but also how they prioritize and time their strategic initiatives. In order to cope with these constraints, SMEs tend to adopt a more disciplined and cautious approach to decision-making, where financial considerations are closely integrated into overall strategy. Rather than pursuing growth aggressively, firms often align their expansion with available resources, particularly cash flow and internal capacity. At the same time, resource constraints are not solely financial. Several firms highlight limitations related to human capital, competence, and organizational capacity, which further influence strategic choices. This suggests that constraints operate across multiple dimensions, requiring firms to continuously balance ambitions with what is practically feasible. Overall strategies and decisions in SMEs are guided by a survivalist and fiscally disciplined mentality.

4.3.1 Financially constrained growth logic

Financially constrained growth logic is reflected in how firms describe the close relationship between their financial capacity and their ability to grow. Across the cases, growth is not pursued independently of financial conditions, but is instead closely aligned with what the firm can realistically sustain over time. This becomes particularly evident in how firms approach planning and scaling decisions.

> *"We never grow ahead of the finances. Uh, so yes, I might need five people for next year. But that decision will be made in the autumn when we know how the organization has stabilized with the recruitments we are doing now. Because every recruitment also affects the situation, affects the dynamics, pushes the workload around. And then, then it's foolish if you have growth goals that are way too big. That is if we are going to grow by twenty-five percent in personnel. Yes, well then it's growth at any cost."*

Here, we can see how growth forecasts are done based on the finances of the firm. They do not work ahead of their finances and try to have incremental growth rather than bigger goals. This perspective is also reflected in how firms approach longer-term strategic decisions.

> *"Long-term plans often involve heavy investment. Entering a new market or building a partner base costs money. Your approach depends on the financial resources you are willing to reserve for that venture."*

SMEs will try to plan for the strategic direction that they are taking. Due to high costs for various options, as noted above, SMEs have to be careful with how they spend their money. Furthermore, they reserve finances for various plans.

"has seen how challenging it is to expand internationally and how much pressure it puts on cash flow. He says, "No, we don't move too fast. We move as fast as the cash flow allows."

The cash flow of an SME is tied to how they are able to expand. They do not work ahead of the cash flow. Finances are tied to what the company is able to do in the previous period.

"We have organic growth. We have no venture capital, no loans; instead, we started with our own share capital and have grown from there. And so, uh, it is 100% organic growth.

Growth in this case is 100% organic; the SME slowly and steadily increased its turnover from what they were able to achieve the previous year. They did not have any external injections into the company to achieve higher levels of growth. Therefore, a financially constrained growth strategy is very present.

"One is the stable financial engine that keeps running and allows us to finance new business models. We cannot behave like a three-year-old who sees something shiny and just runs after it, forgetting where they are. If you think about small children playing football, all five-year-olds run after the ball.

Having stable finances that support growth plans, is in this case, how an SME operates. They do not spend in ways that are spontaneous or indecisive. Rather, they spend incrementally in accordance with their achieved business model.

4.3.2 Resource-constrained growth strategy

SMEs operate under resource constraints. Ninety percent of those interviewed wanted to achieve growth. However, due to their lack of resources, they were forced to strategize around this. Resource constraints are not necessarily financial; they can be a variety of other things, such as intellectual property or machinery.

"But if we tried to go after ten new markets now, we would clog up in a month. Because every new market needs product support, service organization support, etc. Therefore, we've said it's better to aim narrow and move forward, to truly get traction. That's how we see it."

The SME in question does not want to enter an excess of markets due to resource constraints. They know that with each new market comes a set of resources needed in order to survive in that market. They state that exploiting a certain market is the way in which the company grows.

“We have to balance our "Runway" how long the cash lasts against our ambitious goals. We have to be efficient and very clear about our priorities. We need enough runway to hit our goals before we need to raise more money.”

Resources cost capital for firms; they realize that they have constraints and that they may need to raise funds for them.

“Years ago, we had problems with our veneering equipment. It would have cost three or four million to replace. We decided to outsource that instead. It was no longer part of the core business. We found good subcontractors instead.”

Here we can clearly see that the company was having resource constraints, but they were able to strategize in a way that overcame these constraints.

4.3.3 Human capital constraints

Human capital constraints affect SMEs. This means a shortage of staff or skilled staff. Training and education of employees is a large part of human capital constraints.

“We are, for example, only fifteen engineers. If we want to develop a new product, it might require five to ten people. Then we cannot develop several products at the same time. So it comes down to the fact that we start very broad, trying to do many big things, and then it becomes more and more narrowed down as we move toward finalizing the strategy.”

The company clearly shows that they want to develop more products. The lack of engineers, however, constrains them to only one or two. Hence, they focus more narrowly on a select few products.

“Staff is one key resource. We have previously been understaffed, and as we have grown, we have had to hire more people. But often, we have only hired when it has been absolutely necessary. That has sometimes led to delays in responding to customers because we simply did not have enough staff. Now we are changing that approach we want to hire earlier, before it becomes critical. That is more costly, but since we see that we are growing, we feel confident doing it.”

Here, the company states that staff are an important resource for them. They show how they hire based on necessity, and that delays in the hiring process can cost them money. Hence, now they are trying to hire earlier, and before critical moments.

“You must have access to resources primarily competence and skills.”

The company explains the vitality of being able to access competent and skilled employees.

> *"Yes, very differently. We've reduced staff, and right now we are trying to find our new structure. Before COVID, we had no digital alternatives. Now we have many. However, people are starting to get tired of digital training and prefer in-person courses again. The problem is that physical training costs both time and money. Because of the recession, companies are therefore reducing training overall. Now, due to lower revenues, we no longer employ technical experts full-time. Instead, we hire external experts when needed, typically when we are close to closing a deal and then charge the customer for their time."*

Here we can see examples of how human resource constraints affect the firm and how they cope with them. One way is to reduce staff from full-time to part-time hiring. Furthermore, platforms for human capital were seen to affect the company. We can also see how the company reduces human capital when revenue is not as present.

4.4 The architecture of strategic communication

Firms use their communication as a means of strategizing. This can be done in a variety of ways. Furthermore, the way in which their communication is structured is a strategy in and of itself. Communication as a strategy and the architecture of communication help firms achieve their goals, everything from sales, internal goals, value creation to automation. Firms use communication in complex ways. These include value based narrative reframing, digital & automated inbound signaling, high-touch relational & intermediary engagement, internal cultural alignment & goal setting. These four are all a part of strategic communication and the architecture of that communication.

4.4.1 Value-based narrative reframing

Communication helps firms to frame the value that their product creates. Companies can frame their product in ways that highlight value for their customers. Based on the communication strategy and the overall communication approach, vastly different perceptions of value can be created for the firm and the products that they sell.

> *"When I joined, I helped move us away from technical AI talk toward ROI and case studies. Why? Because you get more volume, you earn more money, and customers are more willing to pay. Larger companies want to buy safe products. As they say, No one ever got fired for buying IBM."*

We can clearly see how the firm has moved away from a certain type of talk and towards another one. This has helped them achieve more growth, as their talk focuses on ROI rather than technical AI talk. Furthermore, they have used safe talk in their communication.

"We want to talk the language of the early majority: risk reduction and proven results."

The firm wants their communication to be in line with the early majority adopters. Reducing risks and having proven results. Not talking as the late majority or laggards, in the referenced crossing the chasm.

"We therefore defined Optronic as experts within this domain area making products for others, combining non-contact measurement methods, and so on. We did that because we saw a gap in the market there. And that was what we then focused on addressing."

The company defines itself in its communication. By setting the stage as experts through their communication and products, they were able to address a gap in the market that was not tapped. Hence, they could create value through narrative.

"Everyone can get information. Everyone can find things. But it's about finding someone to trust in that information flow."

The interviewee describes that they have a very trustworthy flow of information, strengthening their value creation for customers. Their communication highlights trustworthiness as a factor, knowing that customers can get all types of information.

"Now it's primarily about continuing to refine these so they become smarter, cheaper, simpler, you know, more sustainable, everything. And, and also the communication around it. "

The overall strategy is discussed for their business. They mention that the communication around these aspects is vital. Highlighting how they have created more value in some way.

4.4.2 Digital & automated inbound signaling

Firms may use communication architecture in order to, for example, sell more of their products. This can be done in a variety of ways. They can automate various aspects of communication in order to achieve overall goals. The more signals from customers that the company can absorb, the easier it will be to reach and hence to sell to its customers. This

architecture therefore, becomes very important for most companies as it is directly tied in most cases to monetary value.

"If Emilia clicks one thing, she gets one set of emails; if Joar looks at something else, he gets another. If you click to learn more, we set up a meeting. This allows a small team to create a lot of "noise."

Here, the company explains some ways that they have set up automated channels in order to get sales. This digital infrastructure is designed in a way that communicates differently based on customer desires.

“We scrape potential leads and put them into different "email tracks."

Again, the firm shows how they have automated systems in order to understand inbound signals. Scraping in this case and filtering into various email tracks.

“We use "social selling" on LinkedIn, sharing case studies to create interest, and we use marketing automation like automated emails.”

The firm communicates via Linkedin, creating interest for their products, then has automated marketing that drives customers to their website. Signals going into the firm via Linkedin and then being addressed via emails.

“I believe in simple models of communication and clear responsibility. Like the American Football analogy, everyone needs to understand why we are doing what we are doing. I want to automate as much as possible so the data is transparent for everyone. We also have to be disciplined, we must cut out things that don't generate results.”

Simplifying communication through automation has immense importance for companies. Getting signals into the company and simplifying them.

4.4.3 High-touch relational & intermediary engagement

High-touch relational and intermediary engagement refers to how firms build and manage external communication through personal relationships, dedicated roles, and active contact with the market. Rather than relying on a single approach, firms combine formal structures, such as assigned roles, with informal relationship-building and direct outreach. This shows how external communication is organized through several connected activities. This can be seen in how firms describe their communication with customers.

"We are very personal with our customers and have a structured KAM (Key Account Management) setup with dedicated people for different teams and clients."

This shows how communication is organized through both structure and relationships. The interviewee describes how specific people are responsible for different customers, while also emphasizing a very personal way of working. This suggests that communication is both clearly organized and closely connected to individual relationships. At the same time, other companies also rely on more informal and relationship-based communication.

"I've been to a thousand dinners… it's about finding someone to trust in that information flow. There's no lack of information today, but companies are increasingly looking for someone they can rely on."

In this company, communication is built around trust and long-term relationships. In a complex information environment, customers are not only looking for information, but for someone they can trust. This suggests that personal interaction remains an important part of how firms communicate and build credibility. Communication can also be used for actively identifying new opportunities.

"We design the organization with Account Managers who manage the existing business and 'hunters' who are out looking for the new… we do a lot of industrial scouting and searching for future opportunities."

This reflects on how communication is structured to support both existing relationships and the search for new opportunities. By separating roles between those who manage current customers and those who explore new areas, the firm organizes communication in a way that supports different types of activities. Communication is therefore used both to maintain existing relationships and to engage with new opportunities in the market. A common pattern across the cases is that communication is organized through a mix of structured roles, personal relationships, and active market engagement.

4.4.4 Internal cultural alignment & goal-setting

Internal cultural alignment refers to how firms talk about making sure everyone in the organization understands what to do and why. Among the organizations, there is a focus on working in a consistent way and having a shared approach to decisions. Goal setting is often mentioned in relation to this, where firms set clear targets that guide their work over time. Communication within the organization is closely linked to both alignment and direction in everyday work.

"Everyone needs to understand why we are doing what we are doing… I believe in clear responsibility and simple ways of communicating."

Here, communication within the firm is centered around creating a shared understanding. The focus on making sure everyone understands why things are done, together with clear responsibility, reflects a way of organizing internal communication where expectations and roles are made explicit. In another company, shared understanding is also reflected in how they use goals to shape their work.

"We set a goal to grow by 50% within three years… it forces us to question how we work and whether we need to change what we are doing. We also work with our existing customer base to compensate for losses and build growth step by step."

In this case, goals are described as something that creates direction within the organization. The focus on setting an ambitious target, together with continuously working with the existing customer base, reflects how goals are used as part of everyday communication and planning. The way growth is described step by step also shows how targets are connected to ongoing activities within the firm. Goals are also described alongside the need to create structure and stability within the organization.

"When everything is structured and in order contracts, functions, and internal processes it creates security for employees… it becomes easier to be more entrepreneurial when you have a stable foundation."

Here, communication is closely linked to creating structure and clarity within the organization. The focus on having everything "in order" reflects how routines, roles, and processes are made visible and understandable for employees. This creates a sense of stability, which shapes how work is carried out internally. This structured way of working is also reflected in how communication flows within the organization.

"We are a small company where most people sit in the same place, which makes communication paths very fast. Once new customers are found, everything is handled centrally."

In this case, communication is linked to how the organization is set up. When most employees are located in the same place, communication becomes faster and more direct. Communication is also described as something that needs to be adapted depending on the situation and the type of customer.

"To cross the 'chasm', you must change your communication strategy. In the early phase, you talk about features. In the next phase, you talk about KPIs, case studies, what others have done, and how fast they got their money back."

In this example, communication is described as something that changes depending on the stage of the market. The “chasm” refers to a gap between different customer groups where communication shifts between phases, from technical features to more concrete results.

4.5 Secondary findings

4.5.1 Long-term planning

SMEs today are planning in shorter spans than discussed in the literature. Research discusses long-term planning for most businesses being equivalent to growth over a span of five years. Throughout the interviews, we grasped that long-term strategic planning is considerably shorter for SMEs, and perhaps most companies.

*“But from a business perspective, this will be far out in time. It will not contribute anything in the next **three years**. It is purely a strategic direction.”*

*“In terms of long-term planning, it is more that we have a **three-year plan**, and then we try to think about what happens after those three years.”*

*“Yes. Uh, where the first year is always fixed. So that one is directly linked to a budget. All **three years** are linked to budgets, but year one is, so to say, binding. Uh, but in the past people worked a lot with five-year plans and so on. But they are very unrealistic.”*

*“The way we work, essentially, is that we go through, we look **three years** ahead, we think a bit about our existing customers.”*

*“It’s not so easy in our industry to set them for a long time. It was much easier in the past, but now we can't really do it annually anymore; we have to do it **half-yearly**. Sometimes even shorter than that.”*

The following quotes from five of the SME companies that we interviewed. They described long-term planning as being mainly three years in the future. Some of the participants even described it as shorter than three years. The literature points to five years, but in practice, short-term planning is likely three years in the future or less.

4.5.2 Strategy as continuous prioritization

Another secondary finding that we encountered in SMEs was that many companies have an ongoing strategy of prioritizing. This was discussed quite heavily throughout the interviews.

They described making tradeoffs in decisions, and that strategy was ongoing in their prioritizing of one thing over another.

“I think it's super important to have a systematic process in a strategy. Otherwise, it becomes a bit like, "Now I'm working a bit on strategy, now I'm working on something else." And this "Wheel" actually has I never described this, both an inside and an outside. On the inside of the wheel, that’s the operational part. If you’re going to deliver for the year, you have to deliver the quarter, you have to deliver the month. That’s where the operational part is with our follow-up meetings on how the business is going. If you don’t have a very structured strategic process, it becomes very ad hoc. When you think about strategy, maybe a few people think about it once, and others another time.”

Having a systematic strategic process is important for the interviewee. Strategy is not static as he explains, and comes before the incremental company goals. For operations, it needs to be structured in order to be ongoing. He refers to a *wheel* from strategic theory that his company follows, where they have laid out strategy in a way that is ongoing for the whole year. Furthermore, he explains the wheel having an “inside” that correlates to short-term, and an “outside” that is long-term focused.

“For the past two years, our focus has been on the next 12 months. What do we want to achieve? What is important? We talk in focus areas. For example, if we release a product for a specific customer, we tie that to a website update, a specific training course, and new app functionality. Different teams work together on one focus area.”

Here we can clearly observe that the company is prioritizing various activities that connect to their operations. They prioritize what should be done and when.

“Yeah, strategy is very interesting because you’re very busy with day-to-day operations. Especially in a smaller company, I feel.”

Again, we can see how day-to-day operations are connected to strategy. There is an ongoing strategy in the small decisions made at the company. Smaller companies may have more daily prioritization connected to strategy.

“So, strategically speaking, we look at the potential for our various product categories and choose: "No, here it’s a 'hold' and we just keep it and don’t lose the business." On the other two, it’s full speed ahead. At least 20% growth. You could put it that way.”

The firm is thinking about the strategy for individual products being sold. What their strategy for that particular product should be at a certain time. Some things are withheld for various strategic reasons.

"That allows us to negotiate with retail chains, they compete for the launch in exchange for guaranteed visibility or sales volume. That is our day-to-day strategy in existing channels."

They were about to launch a new product in this case. This then creates the possibility of negotiating with their retail chain, due to the uniqueness of this product. Hence, a chance for strategy in a shorter spanned setting. The SMEs observe their external environment and choose to react based on new information. This highlights a choice in strategic approach and a chance to prioritize their strategy continuously. We can see this for most of the SMEs that we interviewed. Having a strategy of continuous prioritization.

5. Discussion

5.1 Overview of discussion

The purpose of this paper was to explore and gain a deeper understanding of the combination of growth strategies through the 14 SME interviews and how they prioritize for long-term growth. These companies presented us with a variety of findings. We were able to extract three main findings from these interviews. We outlined the main growth strategies used by firms in our literature review. They included Market expansion strategies, Product and service growth, Revenue and pricing strategies, Customer-led growth, Marketing-led growth, Operational efficiency, and Strategic growth (Ilhan & Durmaz, 2015)**.** These strategies were more theoretical in retrospect. Our findings examined what SMEs use in practice. Through the research, we found that the main strategies used and also not listed very precisely in the literature were Strategic positioning & market approach, Resource constraints & Financial discipline, and lastly the architecture of strategic communication. These three theoretical findings suggest what SMEs today prioritize in order to grow. Furthermore, they show a possibility of combinations of strategies that are all likely to be combined with others to achieve growth for the firm. We observed how theories such as exploration & exploitation and a resource-based view are connected to their choice of growth strategies. We observed these main findings along with secondary findings from ME interviews, however not included in the coding using thematic analysis. The secondary findings include the duration of long-term planning, as well as strategy being continuous prioritization.

5.2 Strategic positioning and market approach

Niche positioning can be seen in how companies choose to focus on a specific market or narrowed segment. This is to help them use their resources more effectively and not to take big risks (Ansoff, 1988). Rather than expanding more than they can handle. It can be anything from product, customer segment, knowledge and how they position themselves, choosing a narrow lens over a wide one (Ansoff, 1988). This is a form of strategic positioning that was seen in the interviewed SMEs. Ansoff (1988) discusses market penetration and market development, which strategic positioning encompasses, but is not the only focus. Hence, we can understand that classical frameworks are fragmented compared to what is used today. SME Firms also use their approach to markets as a means of strategizing. They carefully select and enter markets based on risk. This prevents SMEs from overextending and risking financial stakes due to a specific market. Niche positioning can also relate back to March (1991), it can be seen as exploitation rather than exploration.

Furthermore, organizations may diversify their market approach so that they have one strong market that "drives" them, whilst having one or two others that are risk-inducing but have higher yield. SME firms want to grow where they are most comfortable (Ansoff, 1988). They strategize in ways that let them expand without taking risks. This usually means slowly growing in markets that are close to them, or building stronger ties with existing customers. Strategizing in this way is a safe bet for SMEs, as they can grow without risk. Larger companies may have bigger margins for taking risks. Equally important, all SME companies that have been a part of this research have not all had a strong growth focus, instead they described what can be understood as profitability-first growth logic. Firms prefer financial stability and profitability before pursuing growth. Especially not aggressive scaling during uncertain times.

> *"We have our own engineers… research expertise… we maintain close contact with researchers… So, we are a 'knowledge company,' and we've decided that our product should be a premium product. We work closely with science, we don't push anything that isn't proven to be effective… our goal isn't to be the cheapest."*

The quote from an interviewee shows both how they position themselves as an expert in the field and how they approach the market by being a premium product. The general factors surrounding a company's position and their approach to the market is fundamental to growth. The interviews emphasized how these two came together and their centrality to how SMEs grow. It is clearly seen that strategic positioning & market approach is practiced as a growth strategy in SME. More so, it is one of the main growth strategies practised by them.

5.3 Resource constraints and financial discipline

Another main finding discovered in the study was that navigating resource constraints and having financial discipline can be used as a growth strategy. Companies leverage their resources in order to grow and have a conservative fiscal policy (Barney, 1991). To unravel this, financially constrained growth logic means that a firm's growth is limited by its available financial resources (Barney, 1991). This pattern was spotted in the interviewed SMEs; they can't grow as much as they want because they are limited by their cash flow, as well as access to capital and financial risk tolerance. This can be seen as that growth is not always a strategic choice, but a financial constraint. Likewise, a resource-constrained growth strategy is seen in SMEs, where growth is ruled by what the company actually has the capability for, which we saw throughout the interviews. This is in accordance with Barney's (1991) theory on resource allocation. Resource constraints do not only include money but also time and capacity, as well as material resources (Barney, 1991). Lastly, Human capital constraints, being a part of resources constraints, revolve around SMEs ability to find skilled and unskilled workers. This equates to knowledge and expertise in their business, as well as tasks to be done. Human capital constraints hinder the workloads that can be accomplished. Firms can work around this in various ways, but it is ultimately a setback.

> *"Years ago, we had problems with our veneering equipment. It would have cost three or four million to replace. We decided to outsource that instead. It was no longer part of the core business. We found good subcontractors instead."*

Clearly, all three of these aspects, financial, resources, and human capital constraints, heavily impact SMEs. Therefore, they implement strategies that work around these constraints. Hence, using resource constraints and financial discipline as a growth strategy.

5.4 The Architecture of Strategic Communication

Widely seen in the interviews was the use of communication as a strategy for growth. Communication differs from marketing in the sense that it is not there for promotional purposes. Rather to build trust, ensure consistent messaging, and manage the relationship with the consumer. From what was discussed in the interviews, communication takes place both internally and externally. It can also be done by implementing digital and automated systems. The overall architecture of a company's strategic communication is a growth strategy in and of itself that was widely presented in the interviews. Value based narrative reframing was seen in the interviews. Various companies reframed their product or service in a way that created more value for customers, incorporating this talk into their overall

strategic communication. They chose to highlight ROI rather than technical features. Another aspect of strategic communication was that companies chose to automate and digitalise their communication. The interviews gave us a hint into how this was done, mainly they wanted sales channels to know when their customer was interested. Hence, they created digital and automated inbound signaling channels. For instance, using Linkedin to capture customers who were interested. The interviewees also had very focused customer engagement and relationship building. They had high-touch relations with their customers and with the market. These complex relations and channels were a large part of their strategic communication. Internal cultural alignments and goal setting are about how companies make sure that everyone is working towards the same end goal, and it becomes easier to apply a strategy. Also, to have alignment so there is no conflict within the firms, as was presented in the interviews.

" I believe in simple models of communication and clear responsibility. Like the American Football analogy everyone needs to understand why we are doing what we are doing. I want to automate as much as possible so the data is transparent for everyone. We also have to be disciplined, we must cut out things that don't generate results."

The interview participants clearly emphasized that strategic communication, and the architecture of that strategic communication, was used as a means by which to grow. Most growth strategies deal with markets, pricing, or the product sold. This is also what Zulkeifli et al. (2023) highlight, who argue that communication affects organizational performance through activities such as customer relationship management, external communication, and strategy implementation. Similarly, the interviewed SMEs described communication as essential to their overall strategy. Zulkeifli et al. (2023) primarily discuss communication as a contributor to performance; the interviewees indirectly meant that strategic communication is a growth strategy itself among SMEs. The architecture of strategic communication can look very different based on the companies. If one thinks of growth strategies as largely being implemented in order to increase turnover, then sales become quite vital (Frandsen & Johansen, 2017). Strategic communication comes into play here as it is a cornerstone for selling products.

5.5 Summary of discussion

Secondary and less impactful findings were also discovered. The main ones are the span of long-term planning, as well as continuous prioritization as a strategy. When we asked the participants of the study about their long-term planning, nearly all described plans spanning three years, and some interviewees said shorter periods like six months. Previous literature emphasized five to ten years as being what most firms considered as long-term planning

(Benchmark International, 2023). Furthermore, the interviewees described that continuous prioritization was one of their main strategies. Firms prioritize the decisions they take and do so continuously; this process becomes a strategy on its own as decisions are weighed and taken based on payoff.

Overall, we observed that the SME firms used a handful of growth strategies not mentioned in previous literature. They used Strategic positioning and their market approach as one of them. As well as taking note of resource constraints and having a financially disciplined mindset. They also crafted a strong strategic communication architecture. Lastly, they engaged in continuous prioritization as a strategy. These are the top three prioritized growth strategies that were found, but they are not necessarily in order. These findings are all about various SME growth strategies in practice. Connecting back to the research question. How do Swedish SMEs prioritize and combine growth strategies for long-term growth? The main strategies laid out were the ones mentioned above. Therefore, firms likely use a mix of the classic strategies mentioned in the study by Ilhan and Durmaz (2015) and the ones we have presented. We observed that amongst others, market expansion, market penetration, and market development were used by the SMEs interviewed. Furthermore, we heard of strategic growth, such as mergers and acquisitions, being used. Hence, SMEs today may combine in various ways practical versions of Ilhan and Durmaz's (2015) strategies in combination with the ones that we have found. The difference between the literature and practice, is how much of each growth strategy is used in practice. Ilhan and Durmaz (2015), as well as Ansoff's (1988) work are fragmented in the practical application. The strength of the research lies in the practical discoveries and strong methodology. Likely, the results can be generalized; they can be applied by other firms.

6. Conclusion

6.1 Overall conclusion

The underlying reason behind this research was to explore growth strategies in Swedish SMEs. It was also to understand what is used in practice rather than in theory. The literature pointed to a select handful of strategies used by most companies for growth. However, our results showed quite a drastic contrast to what was illustrated in the literature. We wanted to know how firms prioritized and combined strategies. We observed that the main growth strategies used by SME firms were strategic positioning and market approach. Moreover, operating under resource constraints and financial discipline. Lastly, the architecture of strategic communication. These findings show some adherence to theory, but in summary, are not what was discussed by Ilhan and Durmaz (2015). The theory points more towards potential growth strategies in a broad sense but not those currently used, and specifically by SMEs. As we mentioned in the introduction, most literature discourse focuses on MNEs. Our findings emphasize that in practice, strategies vary significantly from theory. Some of Anoff's original strategies, such as product development, can be seen in the findings. Likely, smaller firms have to be niche and fiscally responsible, as well as resource-minded and able to communicate their product effectively to buyers. They, however, may also combine other classic strategies in order to grow their business.

6.2 Theoretical implications

Observing SMEs and their growth strategies, we have highlighted how theories come together with practice. By exploring this gap, we have found interesting aspects to growth strategies in practice. The theory specified a mix of growth strategies used by most firms globally. Our research strayed from this theory and emphasized more practical growth strategies. Having some of the theory present in the findings, yet some differing. The data showed that the growth strategies that we mentioned were amongst the most prioritized and most commonly used. Likely to be a part of a firm's overall combination of strategies. The resource based view was seen to heavily affect firms, as they are resource constrained. Furthermore, Ansoffs matrix is still applicable today, however it is used in a much more complex and nuanced way.

6.3 Managerial implications

Managers can take our findings and apply them to their own SME. The research highlights emergent growth strategies used today by SMEs. This information can be used as a framework in regards to what is used today, and what actually works today as well. It can serve as a building block to managers who are looking for growth in their firms. SME decision makers who use the strategies laid out can think of ways in which to improve them. Perhaps not noticing them as being an impactful means of growth.

Furthermore, to go into detail, managers can use the findings as a practical benchmark when evaluating their current growth strategy. They can realize the importance of combining multiple growth approaches rather than relying on a single strategy. Managers can use the identified aggregate dimensions, strategic positioning, resource discipline, and strategic communication as areas for reflection and improvement. It may also help managers recognize the importance of balancing available resources with their growth ambitions. SME owners and CEOs may gain insight into how other SMEs approach long-term growth planning. Managers may become more aware of how niche positioning and selective market expansion can help with reducing risk. Overall the findings may help SMEs understand growth from different perspectives, and can induce critique of their own growth approach.

6.4 Future Research

This study contributes to the understanding of how Swedish SMEs combine and prioritize growth strategies in practice. However, the limitations of this study show what future research could investigate further. Firstly, this study is limited by Swedish SMEs; future research could expand the geographical scope and look into whether similar strategic patterns exist in other countries or regions. Other countries in the study could provide a deeper understanding of whether these findings are more universal. Secondly, due to the time constraints of this study, the data collection is based on interviews with 14 small to medium-sized enterprises. While this provides a rich insight, future research could include a larger number of interviews to get an even broader perspective. As well as, investigate more thoroughly what other growth strategies than the classically theorized literature reports. For future research, a comparative study between SMEs may be more insightful. Thirdly, the findings suggest that SMEs often plan for shorter time periods than what is typically described in the literature. Future research could further explore this by investigating how and why long-term planning has shifted from five years to shorter timeframes. This shift may be influenced by ongoing geopolitical uncertainty, inflation, and broader economic

instability. Many firms in this study had recently adapted their strategies following the COVID-19 pandemic, while at the same time facing new challenges. Future research could therefore examine how today's geopolitical problems affect them in some years from now.

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APPENDIX I: Interview Questions

Question	Themes	Literature
1. What is your current role, and how long have you been in the company?	Background	
2. How long have you been in this industry?	Background	
3. What is the headcount of your company?	SME	
4. What's the turnover?	SME	
5.What is the balance sheet of assets?	SME	
6. How does your company work with strategy? and what kind of strategies?	Strategy	MacKay et al. (2020)
7. How do you prioritize your strategies, and what limits you?	Strategy	MacKay et al. (2020)
8. How does your company approach growth?	Growth strategies	Ansoff (1957) Ilhan & Durmaz (2015)
9. How do you combine growth strategies?	Growth strategies	Ansoff (1957) Ilhan & Durmaz (2015)
10. Do you prioritize one strategy over the other? Or perhaps wait for strategies to finish, before another kicks in?	Growth strategies	March (1991) Mom (2019)
11. How do you think growth strategies change based on industries?	Growth strategies	Bader (2024) Ansoff (1957)
12. Are there similarities in your industry?	Growth strategies	Bader (2024) Ansoff (1957)
13. When planning for growth, do you mainly focus on expanding within your current market, developing new products, entering new markets, or doing	Growth strategies	Ansoff (1957)

several of these at the same time?		
14. When planning for growth, how do you balance investing in new opportunities with improving your existing business ?	Growth strategies	March (1991)
15. How do you formulate long-term plans that incorporate your growth strategies? Which factors weigh the most in these plans?	Long-term planning	Souder et al. (2015)
16. When making long-term strategic decisions, what matters most, personal experience? Data and analysis? Board expectations? Market Trends? Company culture?	Long-term planning	Souder et al. (2015) Handoyo et al. (2023)
17. How much does your personal leadership philosophy influence growth priorities?	Decision-making	MacKay et al. (2020)
18. How do you decide which type of growth to prioritize when several options are available?	Decision-making	Ansoff (1957) March (1991)
19. Do you usually focus on one growth direction at a time, or do you try to pursue several growth initiatives simultaneously? Why?	Decision-making	March (1991)
20. To what extent do your resources influence which growth strategies you choose?	Decision-making	Barney (1991)

Interview questions in english:

Intro:
The survey will be completely anonymous if you wish. Otherwise we can include your name and company for the study.

Background

1. What is your current role, and how long have you been in the company ?
2. How long have you been in this industry ?

SMEs

3. What is the headcount of your company ?
4. What's the turnover ?
5. What is the balance sheet of assets ?

Strategy

6. How does your company work with strategies, and what kind of strategies?
7. How do you prioritize your strategies, and what limits you?

Growth strategies

8. How does your company approach growth?
9. How do you combine growth strategies?
10. Do you prioritize one strategy over the other? Or perhaps wait for strategies to finish, before another kicks in?
11. How do you think growth strategies change based on industries?
12. Are there similarities in your industry?
13. When planning for growth, do you mainly focus on expanding within your current market, developing new products, entering new markets, or doing several of these at the same time?
14. When planning for growth, how do you balance investing in new opportunities with improving your existing business ?

Long term planning

15. How do you formulate long term plans that incorporate your growth strategies? Which factors weigh the most in these plans?
16. When making long-term strategic decisions, what matters most, personal experience? Data and analysis? Board expectations? Market Trends? Company culture?

Decision-making

17. How much does your personal leadership philosophy influence growth priorities?
18. How do you decide which type of growth to prioritize when several options are available?

19. Do you usually focus on one growth direction at a time, or do you try to pursue several growth initiatives simultaneously? Why?
20. To what extent do your resources influence which growth strategies you choose?

Interview questions in swedish:

Intro:
Intervjun kan vara helt anonym om du önskar. Annars om det är okej kan vi inkludera ert namn och företag i studien.

Bakgrund

1. Vilken är din nuvarande roll i företaget, och hur länge har du arbetat där?
2. Hur länge har du jobbat i denna bransch?

SME

3. Hur många anställda har företaget ungefär?
4. Vad är företagets ungefärliga omsättning?
5. Hur ser företagets balansräkning ut idag (mindre än 50 mil euro)?

Strategi

6. Hur arbetar företaget med strategi, och vilka typer av strategier använder ni?
7. Hur prioriterar ni mellan olika strategier, och vilka begränsningar möter ni?

Tillväxtstrategier

8. Hur arbetar företaget med tillväxt?
9. Hur kombinerar ni olika tillväxtstrategier?
10. Prioriterar ni en strategi i taget, eller väntar ni ibland tills en strategi är genomförd innan ni börjar nästa?
11. Hur tror du att tillväxtstrategier varierar mellan olika branscher?
12. Finns det likheter inom er bransch i hur företag arbetar med tillväxt?
13. När ni planerar för tillväxt, fokuserar ni främst på att växa inom er nuvarande marknad, utveckla nya produkter/tjänster, gå in på nya marknader, eller göra flera av dessa samtidigt?
14. Hur balanserar ni mellan att investera i nya möjligheter och att vidareutveckla er befintliga verksamhet?

Långsiktig planering

15. Hur formulerar ni långsiktiga planer som inkluderar era tillväxtstrategier? Vilka faktorer väger tyngst i dessa planer?

16. När ni fattar långsiktiga strategiska beslut, vad påverkar mest: personlig erfarenhet, data och analyser, styrelsens förväntningar, marknadstrender eller företagskultur?

Beslutsfattning

17. Hur mycket påverkar din personliga ledarskapsfilosofi företagets tillväxt prioriteringar?
18. Hur beslutar ni vilken typ av tillväxt ni ska prioritera när flera alternativ finns?
19. Fokuserar ni vanligtvis på en tillväxtriktning i taget, eller försöker ni arbeta med flera samtidigt? Varför?
20. I vilken utsträckning påverkar era resurser vilka tillväxtstrategier ni väljer?

APPENDIX II: Coding table

Dimension 1. Strategic positioning and market approach

Quotes	1st Order Concepts	2nd Order Themes
"Main strategy is to offer mandatory courses… to stay compliant."	We specialize rather than broaden	Niche positioning strategy
"A technical buyer wants to hear about features… a mature market buyer wants to understand KPIs, risk, and ROI."	We focus on specific customer segments (e.g., B2B, government, elite users)	
"We are a 'knowledge company'… our product should be a premium product… our goal isn't to be the cheapest."	We position ourselves as premium rather than competing on price	
"We target specific niches"		
"We are strictly B2B."….. "We work with thirty government agencies here who are our customers."		
"… would have cost us ten million to start up… we actually earn more by not doing it."	We avoid entering markets with high costs or uncertainty	Risk adjusted market entry
"We won't enter a market just because it's lucrative if the barriers are too high." … "Entering a new market costs money.	We evaluate expansion based on risk vs return	
"If we tried to go after ten new markets… we would clog up."	We expand step-by-step rather than upfront	
"We must balance our 'Runway' against our ambitious goals."		
"We are generally quite cautious. We see the growth coming, then we make the investments."		
"Our main priority is to do more with existing customers… selling something more to an existing customer—that is the low-hanging fruit."	We grow with existing customers	Low risk proximity growth
	We focus on nearby or known markets	
"Our local area we define as Scandinavia… there is no interest in getting on a plane and going to a trade fair in the USA."	We prioritize safe expansion	
"Our sales strategy is partly 'old-fashioned'… we rely on dealers who handle the end customer."	We target industries rather than broad markets	
"Stockholm should be the 'Center of Excellence'… feeding assignments rather than expanding everywhere."		
"We analyze where we can find growth within different customer groups… we work structurally and industry-oriented."		
"Growth is not a goal in itself… I mainly focus on revenue."	Growth is not the main goal	Profitability first growth logic

"Sell less, earn more… If we don't have good profitability, I'm not interested in selling as much as possible." *"We don't need to push for growth… we sit here with good customers… acceptable profitability."* *"Today, the focus is profitability, because without it, there is no company."* *"We have been happy just to maintain roughly where we are."*	Profitability is more important than expansion We avoid growth if it threatens stability	

Dimension 2. Resource Constraints & Financial Discipline

Quotes	1st Order Concepts	2nd Order Themes
"We move as fast as the cash flow allows… we don't have large financial backing." *"We never grow ahead of the finances… money before growth… black figures from month three."* *"We have organic growth. We have no venture capital, no loans… it is 100% organic growth."* *"Entering a new market costs money. Approach depends on the financial resources you are willing to reserve."*	We grow as cash flow allows We avoid external funding Money comes before growth	Financially constrained growth logic
"If we tried to go after ten new markets… we would clog up." *"We must balance our 'Runway' against our ambitious goals."* *"Core business… is the one that will fund the others… e-commerce is a loss we are allowed to make."* *"Growth sprints are as short as possible… six, max nine months."*	We cannot do everything at once Expansion depends on available resources We risk overextending	Resource constrained growth strategy
"Only fifteen engineers… if we want to develop a new product, it might require five to ten people." *"Staff is one key resource. We have previously been understaffed… leading to delays."* *"Must have access to resources primarily competence and skills… resources are the foundation."* *"Reduced staff… hiring external experts when needed."*	Human resources limit strategic execution Lack of staff leads to delays and constraints Firms adjust workforce based on demand and needs	Human capital constraints

“If not stabilized, we have to adjust… maybe fewer tour guides.”		

Dimension 3. The architecture of strategic communication

Quotes	1st Order Concepts	2nd Order Themes
"Move away from 'technical AI talk' toward ROI and case studies." *"Talk the language of the early majority: risk reduction."* *"Define *** as experts... to protect your business... have a moat."* *"Finding someone to trust in that information flow."* *“Now it’s primarily about continuing to refine these so they become smarter, cheaper, simpler, you know, more sustainable, everything. And, and also the communication around it. ”*	Communication focuses on economic outcomes rather than technical features. Language is adapted to address the specific fears and needs of mainstream buyers. Strategic messaging establishes a specialized niche to defend against competitors. Trust is positioned as the primary value proposition in a saturated market.	Value based narrative reframing
"If Emilia clicks one thing, she gets one set of emails; if Joar looks at something else, he gets another." *"Scrape potential leads and put them into different 'email tracks'."* *"We use social selling on LinkedIn to create interest."* *“I believe in simple models of communication and clear responsibility.”*	Behavioral triggers are used to automate and personalize customer engagement. Systematic lead generation allows for a high volume of outreach with minimal staffing. Professional social platforms are leveraged to build credibility and warm up potential leads.	Digital & automated inbound signaling
"Structured KAM setup with dedicated people for different teams." *"I’ve been to a thousand dinners... people move toward policy-steered documents."* *"The 'hunters' are out looking for the new... industrial scouting."*	Formalized account management ensures consistent, high-fidelity communication with key clients. Long-term networking and face-to-face interactions build the trust necessary to influence corporate policy. Proactive market exploration identifies emerging needs and "right-fit" customers through direct engagement. Simplistic metaphors are used to align the entire workforce with the core strategic mission.	High touch relational & intermediary engagement

"Everyone needs to understand why we are doing what we are doing." *"Set a goal to grow 50%... it makes the organization feel we must question things."* *"creates security for the employees."* *“We are a small company. We are sixty-two people. Sixty of them sit inside this house. That means the communication paths and the way of driving things are very fast.”* *“Between the tech buyer and the mass market is a "Chasm" a void that can last months or years.To cross it, you must change your communication strategy.*	Ambitious performance targets serve as a communicative signal to spark internal change and innovation. Clear and structured operational communication provides a psychological safety net during high-growth periods.	Internal cultural alignment & goal setting